Standard Operating Procedure

SOP – AZ 100 Materials Quarantine Procedure

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Review & Approval

Functional Manager	**Corbin Christian**	(SIGNATURE)	Date:

1.0 **Scope:** To manage the process of dealing with material that is suspected to be unusable by our client, and therefore needs to be segregated, labeled and identified as unusable.

2.0 **Purpose:** To ensure all team members are trained on the proper procedure to quarantine products at the client's discretion.

3.0 **Responsibility:** It is the responsibility of the Client Service Representative, Inventory Leads, Supervisors and Managers to follow the correct procedure for items that must be quarantined.

4.0 **References:**

5.0 **Definitions and Abbreviations:**

5.1. CSR – Client Service Representative
5.2. IS – Inventory Supervisor
5.3. QUAR - Quarantine

6.0 **Process:**

6.1. The customer will communicate to the HubStarr Logistics Inventory Department that a specific part number is possibly discrepant or unusable, or needs to be placed on product hold.

6.2. The Inventory Clerk will need to pass this information on to the Inventory Supervisor (IS) as soon as possible.

6.3. The IS will be responsible for the following process steps.

6.3.1. The material in question will need to first be identified in the warehouse, and pulled out of forward pick and overflow warehouse locations and staged in the segregated Quarantine (QUAR) area.

6.3.2. The material will then need to be counted and any lot numbers, serial numbers or expiration or date codes gathered and documented on the Quarantine Material Tag.

6.3.3. The material will then need to be labeled with the Quarantined Material Tag.

6.4. The Quarantined Material tag should be filled out completely and any customer e-mails or documentation regarding the product hold or quarantine attached to it for placement on the product.

6.4.1. A separate tag should be filled out for each part number that is transferred into the QUAR area.

6.5. The QUAR area in the warehouse is clearly labeled and segregated from other regular warehouse storage locations with a chain hanging across with a sign that says, “Quarantine Area”.

6.6. If product arrives at warehouse under hold/quarantine that has not been released yet for use by the client, the material would need to be quarantined. If a large quantity is received and well beyond the space available in quarantine for temporary storage, finished product, packaging, and/or raw materials may be stored in racking as long as “ON HOLD” signs remain on the pallets and/or cases to identify it from released material.

6.7. If a product in QUAR in released by the client, the IS will need to be notified, whom will then facilitate communication with all parties involved regarding the quarantined product. All “ON HOLD” signs need to be removed by the replenisher responsible for that area prior to taking any product to the kit area or forward pick.

6.8. The IS will facilitate the removal of Quarantine Material Tags from the material and place them together with the documentation from the customer releasing the material.

6.8.1. The quantity of each part number should be verified against the tag to verify all material is accounted for. Any discrepancies need to be investigated and a root cause identified.

6.8.2. The findings should be documented on the tag form, and any transaction should be processed to correct the inventory in the system.

6.9. This packet will be filed with the IS in the QUAR released file.

6.9.1. The IS will then have the material dealt with according to the client’s disposition. Possible disposition could be disposal of material, return to stock, or ship to customer directed location.

7.0 Document History:

Revision	Change	Effective date
ORG	Original Issue	10/10/20
Rev A	**Update company change of name and Logo,** all references of Axle to HubStarr.	**5/7/2024**

This process is required to be reviewed, at a minimum, on a 3 year cycle. If there are no changes to the previous revision the signature below is evidence of the review and approval of this procedure.

Reviewed By: _____ Date _____

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